

**SUBSTITUTE FOR
SENATE BILL NO. 758**

A bill to establish standards and practices relating to certain online services; to prohibit certain acts and practices by covered online service providers related to certain online services; to provide for the powers and duties of certain state and local governmental officers and entities; to require the promulgation of rules; and to prescribe civil sanctions.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

1 Sec. 1. This act may be cited as the "kids code act".

2 Sec. 3. As used in this act:

3 (a) "Actual knowledge" means all information and inferences
4 known to the covered online service provider relating to the age of
5 an individual, including, but not limited to, self-identified age
6 and any age the covered online service provider has attributed or



1 associated with the individual for any purpose, including, but not
2 limited to, marketing, advertising, or product development. If a
3 covered online service provider's classification of an individual
4 for purposes of marketing or advertising is inconsistent with the
5 individual's self-identified age, a covered online service provider
6 shall disregard self-identified age for the purposes of having
7 actual knowledge.

8 (b) "Adult" means an individual who is 18 years of age or
9 older.

10 (c) "Biometric data" means, except as otherwise provided in
11 subdivision (d), data that is generated from the technological
12 processing of an individual's unique biological, physical, or
13 physiological characteristics that is used to allow or confirm the
14 unique identification of the consumer, including, but not limited
15 to, all of the following:

16 (i) Iris or retina scans.

17 (ii) Fingerprints.

18 (iii) Facial or hand mapping, geometry, or templates.

19 (iv) Vein patterns.

20 (v) Voice prints or vocal biomarkers.

21 (vi) Gait or personally identifying physical movement or
22 patterns.

23 (d) Biometric data does not include any of the following:

24 (i) A digital or physical photograph.

25 (ii) An audio or video recording.

26 (iii) Any data generated from a digital or physical photograph,
27 or an audio or video recording, unless that data is generated to
28 identify a specific individual.

29 (e) "Collect" means buying, renting, gathering, obtaining,



1 receiving, or accessing any personal data pertaining to a consumer
2 by any means. Collect includes, but is not limited to, receiving
3 information from a consumer, either actively or passively, or by
4 observing the consumer's behavior.

5 (f) "Common branding" means a shared name, service mark, or
6 trademark for which the average consumer would understand that 2 or
7 more entities are commonly owned.

8 (g) "Consumer" means an individual who is a resident of this
9 state.

10 (h) "Consumer Price Index" means the most comprehensive index
11 of consumer prices available for this state from the Bureau of
12 Labor Statistics of the United States Department of Labor.

13 (i) "Covered child" means a consumer who a covered online
14 service provider has actual knowledge is less than 13 years of age.

15 (j) "Covered design feature" means a feature or component of
16 an online service that is designed primarily to encourage or
17 increase the frequency, time spent, or activity of a user on the
18 online service. Covered design feature includes, but is not limited
19 to, all of the following features:

20 (i) Infinite scroll or a design feature where content
21 automatically and continuously loads at the bottom of a screen,
22 other than what the user explicitly prompted, requested, or
23 searched for.

24 (ii) Auto-playing video or audio, or a design feature in which
25 a video or audio automatically begins playing when a user navigates
26 to or scrolls through a set of videos without any explicit action
27 on the part of a user indicating the user's desire to watch that
28 specific video or listen to that audio.

29 (iii) Quantification of engagement, including, but not limited



1 to, providing a visible count of how many likes, comments, clicks,
2 views, or reactions a user-generated item has received.

3 (iv) Gamification, or a design feature that emulates gameplay,
4 including, but not limited to, a streak, badge, or reward that
5 motivates or causes more frequent or more extensive use of an
6 online service through incentives or frequency of use.

7 (v) The use of clustering, timing, or volume of notifications
8 or push alerts, irrespective of content.

9 (vi) A design feature in which virtual currencies are used or
10 where digital items are purchased.

11 (vii) Image-altering filters or a design feature that
12 facilitates a false perception of an image.

13 (viii) Requiring or repeatedly prompting for account creation in
14 order to access publicly available user-generated content.

15 (ix) Using ephemerality to prompt the urgent use of an online
16 service.

17 (x) Creating barriers to deleting an account or to removing
18 connections to other users of the service.

19 (xi) A feature that increases usage through the illusion of
20 talking with a human being that seeks to elicit feelings of
21 intimacy from the user.

22 (k) "Covered minor" means a consumer who a covered online
23 service provider has actual knowledge is a minor. Covered minor
24 includes a covered child.

25 (l) "Covered online service provider" means, except as
26 otherwise provided in subdivision (m), either of the following:

27 (i) A sole proprietorship, partnership, limited liability
28 company, corporation, association, or other legal entity to which
29 all of the following apply:



1 (A) The entity owns, operates, controls, or provides an online
2 service.

3 (B) The entity conducts business in this state.

4 (C) The entity generates a majority of its annual revenue from
5 online services.

6 (D) The entity alone, or jointly with the entity's affiliates,
7 subsidiaries, or parent companies, determines the purposes and
8 means of the processing of personal data of users.

9 (E) The entity satisfies at least 1 of the following:

10 (I) The entity has gross revenue in excess of \$25,000,000.00.
11 Beginning on January 1, 2029, and every 2 years thereafter, the
12 department of treasury shall adjust the amount of annual gross
13 revenue to reflect the percentage change in the Consumer Price
14 Index.

15 (II) The entity annually processes the personal data of not
16 less than 50,000 consumers or households.

17 (ii) A person that controls or is controlled by a legal entity
18 described in subparagraph (i) and that shares common branding with
19 the legal entity. As used in this subparagraph, "controls" or
20 "controlled" means any of the following:

21 (A) Ownership of, or the power to vote, more than 50% of the
22 outstanding shares of any class of voting security of the legal
23 entity.

24 (B) Control in any manner over the election of a majority of
25 the directors of the legal entity, or of individuals exercising
26 similar functions in the legal entity.

27 (C) Power to exercise a controlling influence over the
28 management of the legal entity.

29 (m) Covered online service provider does not include a



1 provider of an online service where the account owners of the
2 online service who are known to be adults make up more than 98% of
3 the online service's users.

4 (n) "Dark pattern" means a user interface designed or
5 manipulated with the effect of substantially impairing a covered
6 minor's autonomy, decision making, or choice.

7 (o) "Derived data" means data that is created by the
8 derivation of information, data, assumptions, correlations,
9 inferences, predictions, or conclusions from facts, evidence, or
10 another source of information or data about a covered minor or a
11 covered minor's device.

12 (p) "Device" means any electronic equipment capable of
13 collecting, processing, retaining, or transferring personal data.

14 (q) "Knows to be an adult" means having actual knowledge that
15 a user is an adult.

16 (r) "Minor" means an individual who is less than 18 years of
17 age.

18 (s) "Online service" means a service, product, or feature that
19 is accessible to the public via the internet. Online service
20 includes a website or application. Online service does not include
21 any of the following:

22 (i) A telecommunications service as that term is defined in 47
23 USC 153.

24 (ii) A broadband internet access service as that term is
25 defined in 47 CFR 8.1.

26 (iii) The sale, delivery, or use of a physical device.

27 (t) "Parent" includes a legal guardian.

28 (u) "Personal data" means information, including derived data
29 and unique identifiers, that is linked or reasonably linkable,



1 alone or in combination with other information, to an identified or
2 identifiable individual or to a device that identifies, is linked
3 to, or is reasonably linkable to 1 or more identified or
4 identifiable individuals in a household. Personal data includes,
5 but is not limited to, a user's history of interactions with the
6 covered online service provider. Personal data does not include
7 publicly available data.

8 (v) "Precise geolocation information" means information that,
9 by means of technology such as a global positioning system that
10 provides latitude and longitude coordinates, identifies the
11 specific location of an individual within a radius of 1,750 feet.
12 Precise geolocation information does not include the content of
13 communications or any data generated or connected to advanced
14 utility metering infrastructure systems or equipment for use by a
15 utility.

16 (w) "Process" means to perform an operation or set of
17 operations by manual or automated means on personal data. Process
18 includes using, storing, disclosing, sharing, analyzing, selling,
19 or modifying personal data.

20 (x) "Profile" means a form of automated processing of personal
21 data to evaluate, analyze, or predict certain aspects relating to a
22 covered minor, including, but not limited to, a covered minor's
23 economic situation, health, personal preferences, interests,
24 reliability, behavior, location, or movements.

25 (y) "Publicly available data" means, except as otherwise
26 provided in subdivision (z), data that is any of the following:

27 (i) That is lawfully made available from federal, state, or
28 local government records.

29 (ii) That a business has a reasonable basis to believe is



1 lawfully made available to the general public by the individual or
2 from widely distributed media.

3 (iii) That is made available by a person that the individual has
4 disclosed that data to if the individual has not restricted the
5 data to a specific audience.

6 (z) Publicly available data does not include biometric data
7 collected by a covered online service provider about a covered
8 minor without the covered minor's knowledge.

9 (aa) "Sensitive personal data" means personal data that
10 includes any of the following:

11 (i) An individual's Social Security, driver license, state
12 identification card, or passport number.

13 (ii) An individual's account log-in, financial account, debit
14 card, or credit card number in combination with any required
15 security of access code, password, or credentials allowing access
16 to an account.

17 (iii) An individual's precise geolocation information.

18 (iv) An individual's racial or ethnic origin, citizenship,
19 immigration status, religious or philosophical beliefs, or union
20 membership.

21 (v) The contents of an individual's mail, email, text
22 messages, prompts, or other form of communication that performs
23 similar functions, including shared images and videos, unless the
24 recipient is the intended recipient of the communication.

25 (vi) An individual's genetic data.

26 (vii) Biometric data for the purpose of uniquely identifying an
27 individual.

28 (viii) Personal data that concerns an individual's health.

29 (ix) Personal data that reveals information on an individual's



1 sex, sex life, sexual orientation, gender, or gender identity.

2 (bb) "Targeted advertising" means displaying advertisements to
3 an individual when the advertisement is selected based on personal
4 data obtained or inferred from that individual's activities over
5 time and across nonaffiliated websites or online applications to
6 predict the individual's preferences or interest. Targeted
7 advertising does not include any of the following:

8 (i) Advertisements based on activities within a covered online
9 service provider's own online services.

10 (ii) Advertisements based on the context of an individual's
11 current search query, visit to an internet website, or use of an
12 online application.

13 (iii) Advertisements directed to an individual in response to
14 the individual's request for information or feedback.

15 (iv) Processing personal data solely to measure or report
16 advertising frequency, performance, or reach.

17 Sec. 5. This act does not apply to any of the following:

18 (a) A federal, state, tribal, or local government entity in
19 the ordinary course of operations.

20 (b) Personal data that is subject to a statute or regulation
21 identified under this subdivision that is controlled by a covered
22 online service provider that is in compliance with the information
23 security requirements and required to comply with 1 of the
24 following:

25 (i) Title V of the Gramm-Leach-Bliley act, 15 USC 6801 to 6809.

26 (ii) The health information technology for economic and
27 clinical health act, Public Law 111-5.

28 (iii) Regulations promulgated under section 264(c) of the health
29 insurance portability and accountability act of 1996, Public Law



1 104-191.

2 (c) Information, including, but not limited to, personal data,
3 that is collected as part of a clinical trial that is subject to
4 the federal policy for the protection of human subjects under 45
5 CFR Part 46.

6 (d) Information that is collected in accordance with the "Good
7 Clinical Practice Guidelines" issued by the International Council
8 for Harmonisation of Technical Requirements for Pharmaceuticals for
9 Human Use.

10 (e) Information that is collected in accordance with the human
11 subject protection requirements of the United States Food and Drug
12 Administration under 21 CFR part 50.

13 Sec. 7. (1) This act does not limit or restrict in any way the
14 application of other laws, statutes, rules, or regulations of this
15 state.

16 (2) In the event of a conflict between this act and 1 or more
17 other laws of this state, the law that affords the greatest
18 protection from harm to minors controls.

19 Sec. 9. (1) A covered online service provider shall configure
20 all default privacy settings provided for a covered minor to the
21 highest level of privacy, including, but not limited to, all of the
22 following default settings:

23 (a) Not displaying the existence of the covered minor's
24 account to any user the covered online service provider knows to be
25 an adult unless 1 or more of the following applies:

26 (i) The covered minor has expressly and unambiguously allowed
27 the adult user to view the covered minor's account.

28 (ii) The covered minor has expressly and unambiguously chosen
29 to make the covered minor's account's existence public.



1 (b) Not displaying media created or posted by the covered
2 minor to another user the covered online service provider knows to
3 be an adult unless 1 or more of the following applies:

4 (i) The covered minor has expressly and unambiguously chosen to
5 allow the adult user to view the covered minor's media.

6 (ii) The covered minor has expressly and unambiguously chosen
7 to make the covered minor's media publicly available.

8 (c) Not permitting a user the covered online service provider
9 knows to be an adult to like, comment on, or otherwise provide
10 feedback on the covered minor's media unless the covered minor has
11 expressly and unambiguously chosen to allow the adult user to do
12 so.

13 (d) Not permitting direct messaging between the covered minor
14 and another user the covered online service provider knows to be an
15 adult unless the covered minor has expressly and unambiguously
16 chosen to allow direct messaging with the adult user.

17 (e) Not displaying the covered minor's location to other users
18 unless the covered minor has expressly and unambiguously chosen to
19 share the covered minor's location with a specific user.

20 (f) Not displaying the users connected to the covered minor on
21 an online service unless the covered minor has expressly and
22 unambiguously chosen to share the information with a specific user.

23 (g) Disabling search engine indexing of the covered minor's
24 account profile, unless the covered minor has expressly and
25 unambiguously chosen to enable search engine indexing of the
26 covered minor's account profile.

27 (2) A covered online service provider shall not do either of
28 the following:

29 (a) Provide a covered minor with a single setting that makes



1 all of the default privacy settings less protective at once.

2 (b) Request or prompt a covered minor to make the covered
3 minor's privacy settings less protective, unless the change is
4 strictly necessary for the covered minor to access a service or
5 feature they have expressly and unambiguously requested.

6 (3) A covered online service provider shall do both of the
7 following:

8 (a) Provide a prominent, accessible, and responsive tool to
9 allow a covered minor to request that the covered minor's account
10 be unpublished or deleted.

11 (b) Honor a request under subdivision (a) not later than 15
12 days after a covered online service provider receives the request.

13 Sec. 11. (1) A covered online service provider shall only
14 process or retain the minimum amount of a covered minor's personal
15 data that is necessary to provide the specific elements of an
16 online service with which the covered minor has knowingly engaged.
17 A covered online service provider shall not use personal data under
18 this subsection for any reason other than the reason for which the
19 personal data was collected.

20 (2) A covered online service provider is not required to
21 collect the personal data of a user to comply with this act. A
22 covered online service provider that collects personal data of a
23 user for age verification shall not use the user's personal data
24 for any other purpose and shall delete the user's personal data
25 immediately after using the personal data for age verification.

26 (3) A covered online service provider shall provide an obvious
27 sign to a covered minor when precise geolocation information is
28 being collected or used.

29 (4) A covered online service provider shall not do any of the



1 following:

2 (a) Facilitate targeted advertising to a covered minor.

3 (b) Send a notification to a covered minor between 10 p.m. and
4 6 a.m. and, on a weekday from September 1 to May 31, between 8 a.m.
5 and 4 p.m.

6 (c) Profile a covered minor unless profiling is necessary to
7 provide an online service requested by the covered minor, and only
8 with respect to the aspects of the online service with which the
9 covered minor is actively and knowingly engaged.

10 (d) Facilitate advertisements for prohibited products to
11 covered minors, including, but not limited to, advertisements for
12 narcotic drugs, tobacco products, gambling, and alcohol.

13 (e) Use dark patterns.

14 (f) Use the personal data of a covered minor to select,
15 recommend, or prioritize media for the covered minor unless the
16 recommendation, prioritization, or selection of media is based on
17 any of the following:

18 (i) The covered minor's express and unambiguous request to
19 receive any of the following types of media:

20 (A) Media from a specific account, feed, or user, or to
21 receive more or less media from that account, feed, or user.

22 (B) A specific category of media, such as videos depicting
23 specific types of content, or to see more or less of that category
24 of media.

25 (C) More or less media with similar characteristics as the
26 media the covered minor is currently viewing.

27 (ii) User-selected privacy or accessibility settings.

28 (iii) A search query by the covered minor if the search query is
29 used only to select and prioritize media in response to the search.



1 Sec. 13. (1) A covered online service provider shall provide a
2 parent the ability to do all of the following for a covered child
3 or a covered minor, as applicable:

4 (a) Manage the covered child's privacy and account settings in
5 a manner that allows the parent to view the covered child's account
6 settings and change and control privacy and account settings of the
7 covered child.

8 (b) Restrict purchases and financial transactions of the
9 covered minor.

10 (c) Enable the parent to view the total time the covered child
11 has spent on an online service and place reasonable limits on the
12 covered child's use of the online service.

13 (2) A covered online service provider shall offer a parent the
14 ability to restrict a covered child's use of the online service
15 during times of day specified by the parent, including during
16 school hours and at night.

17 (3) A covered online service provider shall notify a covered
18 minor when any of the tools described in this section are in effect
19 and describe what settings have been applied.

20 Sec. 15. A covered online service provider shall establish
21 mechanisms to enable a covered minor or a parent to report any
22 harms experienced by a covered minor on the online service.

23 Sec. 17. (1) By January 1 of each year, a covered online
24 service provider that processes the personal data of covered minors
25 as part of the covered online service provider's business shall
26 issue a public report, prominently posted to the covered online
27 service provider's website, that is prepared by an independent
28 third-party auditor. A report under this subsection must contain
29 all of the following information:



1 (a) A detailed description of the covered online service
2 provider as pertaining to minors, including the online service's
3 covered design features, the use of personal data, and business
4 practices.

5 (b) Subject to subsection (2), all of the following
6 information:

7 (i) The purpose of the online service.

8 (ii) The extent to which the online service is likely to be
9 accessed by minors.

10 (iii) An accounting of the total number and types of reports
11 received under section 15 and an assessment of how those reports
12 were addressed.

13 (iv) Whether, how, and for what purpose the covered online
14 service provider processes minors' personal data and sensitive
15 personal data.

16 (v) The design safety features for minors, the privacy
17 protections for minors, and the tools for parents that the covered
18 online service provider has adopted.

19 (vi) Whether and how the online service uses covered design
20 features.

21 (vii) The covered online service provider's process for
22 handling data access, deletion, and correction requests for minors'
23 data.

24 (viii) Age assurance, age verification, or age estimation
25 methods used.

26 (ix) Whether and how the covered online service provider
27 utilized algorithms.

28 (x) If the covered online service provider uses a covered
29 design feature, the average daily time spent on the online service



1 by covered minors for the 90th, 95th, 99th, and 99.9th percentile
2 of covered minors.

3 (2) The information required under subsection (1) must include
4 a comparison of each category of information for different age
5 groups, including all of the following age groups:

6 (a) Individuals who are 10 to 12 years of age.

7 (b) Individuals who are 13 to 15 years of age.

8 (c) Individuals who are 16 to 17 years of age.

9 (d) Individuals who are 18 years of age or older.

10 (3) An independent auditor that prepares a report under
11 subsection (1) shall follow inspection and consultation practices
12 designed to ensure that the report is comprehensive and accurate
13 and shall consult with experts on the use of online services by
14 minors in relation to the preparation of the report.

15 (4) A covered online service provider shall provide an
16 independent auditor that prepares a report under subsection (1)
17 full and complete cooperation and access to information and
18 operations required to ensure that the report is comprehensive and
19 accurate.

20 (5) All personal data contained in the report required under
21 subsection (1) must be deidentified and aggregated.

22 Sec. 18. (1) The attorney general shall promulgate rules to
23 implement this act under the administrative procedures act of 1969,
24 1969 PA 306, MCL 24.201 to 24.328, including rules that prohibit or
25 limit data processing practices or covered design features that
26 facilitate compulsive use by covered minors or impair autonomy,
27 decision making, or choice of covered minors.

28 (2) The attorney general shall review and update rules
29 promulgated under subsection (1) not less than once every 2 years



1 to keep pace with emerging technology.

2 Sec. 19. (1) A covered online service provider shall designate
3 1 or more of the covered online service provider's officers to be
4 responsible for the covered online service provider's compliance
5 with this act.

6 (2) Beginning on January 1, 2027, a covered online service
7 provider that violates this act is subject to a civil fine of not
8 more than \$50,000.00 for each violation.

9 Enacting section 1. This act takes effect on July 1, 2026.

10 Enacting section 2. This act does not take effect unless
11 Senate Bill No. 759 of the 103rd Legislature is enacted into law.